

MIDTERM EXAMINATION
Fall 2008
MGT101- Financial Accounting (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	1,00,000
Cost of new machine purchased during the year	50,000
Depreciation during the year	21,000
Closing written down value (WDV)	?

- ▶ **Rs. 1, 29,000**
- ▶ Rs. 1, 50,000
- ▶ Rs. 1, 21,000
- ▶ Rs. 71,000

Question No: 2 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Owner's equity	Rs. 22,500
Total Liabilities	Rs. 80, 385
Cash in hand	Rs. 1,000
Cash at bank	Rs. 2,000
Debtors	Rs. 500

- ▶ Rs. 1, 02,885 other assets
- ▶ Rs. 1, 02,885 other liabilities
- ▶ Rs. 99,885 current liabilities
- ▶ **Rs. 99,385 other assets**

Question No: 3 (Marks: 1) - Please choose one

Bank Reconciliation Statement is prepared by:

- ▶ Bankers
- ▶ **Accountant of the business**
- ▶ Statutory auditor
- ▶ Manger

Question No: 4 (Marks: 1) - Please choose one

Bank Reconciliation Statement is:

- ▶ **A memorandum statement**

- ▶ A ledger account
- ▶ A part of cash book
- ▶ A part of journal

Question No: 5 (Marks: 1) - Please choose one

Expenditures incurred annually on renewal of patent are known as:

- ▶ **Revenue Expenditures**
- ▶ Capital Expenditures
- ▶ Financial Expenditures
- ▶ Operating Expenditures

Question No: 6 (Marks: 1) - Please choose one

Particulars	Rs.
Opening stock of raw material	100,000
Closing stock of raw material	85,000
Purchases of raw material during the period	200, 000
Cost of Material Consumed	?

- ▶ Rs. 205,000
- ▶ **Rs. 215,000**
- ▶ Rs. 220,000
- ▶ Rs. 225,000

Question No: 7 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for the each year	Rs. 5,000
Sale price after 5 years	Rs.15,000
Written Down Value of Asset on 5 th year	Rs. 75,000
Profit or loss on disposal of fixed asset	?

- ▶ **Rs. 60,000 loss**
- ▶ Rs. 75,000 profit
- ▶ Rs. 25,000 loss
- ▶ Rs. 1, 00,000 profit

Question No: 8 (Marks: 1) - Please choose one

Which of the following account will be credited, when the goods are purchased on cash?

- ▶ Stock account
- ▶ **Cash account**
- ▶ Supplier account
- ▶ Work in process account

Question No: 9 (Marks: 1) - Please choose one

_____ If
the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?

- ▶ Rs. 15,000
- ▶ **Rs. 35,000**
- ▶ Rs. 55,000
- ▶ Rs. 60,000

Question No: 10 (Marks: 1) - Please choose one

_____ If
the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year. What would be the Net Profit?

- ▶ **Rs.15,000**
- ▶ Rs. 35,000
- ▶ Rs. 55,000
- ▶ Rs. 60,000

Question No: 11 (Marks: 1) - Please choose one

_____ Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance).

- ▶ Capital account
- ▶ Sundry creditors account
- ▶ Accounts payable account
- ▶ **Cash account**

Question No: 12 (Marks: 1) - Please choose one

_____ The
amount of salary paid to Mr. Sohail should be debited to:

- ▶ Mr. Sohail account
- ▶ **Salaries account**
- ▶ Cash account
- ▶ Drawings account

Question No: 13 (Marks: 1) - Please choose one

Which of the following account will be credited, if business bought goods on credit from Mr. Ali?

- ▶ Purchases account
- ▶ **Mr. Ali account**
- ▶ Cash account
- ▶ Sales account

Question No: 14 (Marks: 1) - Please choose one

_____ The unfavorable balance of Profit and Loss account should be:

- ▶ Added in liabilities
- ▶ Subtracted from current assets
- ▶ Subtracted from liabilities
- ▶ **Subtracted from capital**

Question No: 15 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of Current Asset?

- ▶ **Bank Overdraft**
- ▶ Accounts Receivable
- ▶ Notes Receivable
- ▶ Prepaid Expenses

Question No: 16 (Marks: 1) - Please choose one

Which one of the following is **NOT** prepared by Non profit organizations?

- ▶ **Profit & Loss account**
- ▶ Income & Expenditure account
- ▶ Receipts & Payments account
- ▶ Balance Sheet

Question No: 17 (Marks: 1) - Please choose one

_____ An informal accounting statement that lists the ledger account balances at a point in time and compares the total of debit balances with the total of credit balances is known as:

- ▶ Income Statement
- ▶ Balance Sheet
- ▶ **Trial Balance**
- ▶ Cash Book

Question No: 18 (Marks: 1) - Please choose one

Documentary evidence, in a specific format used to record the details of a transaction is known as:

- ▶ Account
- ▶ **Voucher**
- ▶ Journal
- ▶ Ledger

Question No: 19 (Marks: 1) - Please choose one

_____ A
summarized record of transactions related to individuals or things is called a/an
_____.

- ▶ **Account**
- ▶ Voucher
- ▶ Journal
- ▶ Trial balance

Question No: 20 (Marks: 1) - Please choose one

When a Liability is reduced or decreased, it is recorded on the:

- ▶ Right or debit side of the account
- ▶ **Left or debit side of the account**
- ▶ Left or credit side of the account
- ▶ Right or credit side of the account

Question No: 21 (Marks: 1) - Please choose one

What will be the effect on accounting equation, when payment is made to the creditor of the business?

- ▶ **Decrease in an asset, decrease in a liability**
- ▶ Increase in an asset, increase in a liability
- ▶ Decrease in an asset, decrease in owner's equity
- ▶ Increase in an asset, increase in owner's equity

Question No: 22 (Marks: 1) - Please choose one

Commercial Accounting is based on:

- ▶ Single entry book keeping
- ▶ **Double entry book keeping**
- ▶ Both single and double entry book keeping

- ▶ Cash basis of book keeping

Question No: 23 (Marks: 1) - Please choose one

Cost incurred for the maintenance of shop is considered as _____.

- ▶ Deferred expense
- ▶ Capital expense
- ▶ **Revenue expense**
- ▶ Preliminary expense

Question No: 24 (Marks: 1) - Please choose one

_____ Mr.”
A” sold goods for Rs. 3, 00,000 to Mr. “B”, Rs. 3, 00,000 will be treated as _____ for business.

- ▶ **Revenue**
- ▶ Net profit
- ▶ Gross profit
- ▶ Operating profit

Question No: 25 (Marks: 1) - Please choose one

Double entry accounting system includes:

- ▶ Accrual accounting only
- ▶ Cash accounting only
- ▶ **Both cash and accrual accounting**
- ▶ None of the given options

Question No: 26 (Marks: 1) - Please choose one

Which of the following financial statement shows the financial health of an Organization at a stated period of time?

- ▶ Balance sheet
- ▶ **Trading and Profit & Loss account**
- ▶ Cash Flow statement
- ▶ Statement of retained earnings

Question No: 27 (Marks: 1) - Please choose one

_____ The
records that are kept for the individual asset, liability, equity, revenue, expense, and dividend components are known as:

- ▶ **Accounts**
- ▶ Vouchers
- ▶ Journals
- ▶ Statements

Question No: 28 (Marks: 1) - Please choose one

Revenue should be recognized or recorded when the goods are sold or services are rendered to the customer, this concept is known as:

- ▶ Consistency concept
- ▶ **Realization Concept**
- ▶ Materiality concept
- ▶ Matching concept

Question No: 29 (Marks: 1) - Please choose one

_____ A
record maintained which is measurable in the form of money, this concept of accounting is known as:

- ▶ Matching concept
- ▶ Consistency concept
- ▶ **Money measurement concept**
- ▶ Materiality concept

Question No: 30 (Marks: 1) - Please choose one

_____ The
cost of goods and services used up in the process of obtaining revenue is known as:

- ▶ Revenue
- ▶ **Expense**
- ▶ Liability
- ▶ Expenditure

Question No: 31 (Marks: 1) - Please choose one

Which of the following is an accounting system in which events are recorded as and when they occur?

- ▶ Cash Accounting
- ▶ **Accrual Accounting**
- ▶ Both Accrual Accounting and Cash Accounting
- ▶ None of the above

Question No: 32 (Marks: 1) - Please choose one

Recording of all financial transactions undertaken by an individual or organization is known as:

- ▶ Summarizing
- ▶ **Book-keeping**
- ▶ Classification
- ▶ Interpreting

Question No: 33 (Marks: 1) - Please choose one

_____ Any
cheque drawn to creditor but not paid by bank will effect as follows:

- ▶ **Cash book will show less balance & bank book will show more**
- ▶ Cash book will show more balance & bank book will show less
- ▶ Cash book will show double balance
- ▶ Bank book will show double balance

Question No: 34 (Marks: 1) - Please choose one

_____ If
no distribution is made between capital and revenue expenditure then:

- ▶ The figure of debtors and creditors will be incorrect
- ▶ Cash or bank figure will be incorrect
- ▶ **Net profit will be incorrect**
- ▶ Balance sheet will not balance

Question No: 35 (Marks: 1) - Please choose one

_____ The
Policy for charging depreciation is selected by:

- ▶ Manufacturer
- ▶ Trader
- ▶ **Management**
- ▶ Accountant

Question No: 36 (Marks: 1) - Please choose one

_____ The
estimated value at which an asset is expected to be sold after the end of its useful life is called:

- ▶ Residual value
- ▶ Salvage Value
- ▶ Scrap Value
- ▶ **All of the given options**

Question No: 37 (Marks: 1) - Please choose one

_____ Mr.
“A” borrowed money from bank; this transaction involves which one of the following accounts:

- ▶ Cash & Mr. A
- ▶ Bank & Mr. A
- ▶ Drawing & Mr. A
- ▶ **Cash & Bank**

Question No: 38 (Marks: 1) - Please choose one

_____ The
beginning balance of Owner's Equity was Rs.7,500. The dividends paid to stockholders were Rs.1,500. The ending balance of Owner's Equity is Rs.5,000. What was the Net Income or Net Loss for the accounting period?

- ▶ Net Loss of Rs. 1,000
- ▶ **Net Income of Rs. 1,000**
- ▶ Net Loss of Rs. 3,000
- ▶ Net Income of Rs. 3,000

Question No: 39 (Marks: 1) - Please choose one

A company sold Rs. 400,000 of merchandise for cash and Rs.120,000 of merchandise to credit customers who will pay for the merchandise in a later time period. How much revenue should be reported on the income statement of the current time period under Cash Basis of Accounting?

- ▶ Rs. 280,000
- ▶ Rs. 520,000
- ▶ **Rs. 400,000**
- ▶ Rs. 120,000

Question No: 40 (Marks: 1) - Please choose one

Which one of the following statement is wrong about Current liabilities?

- ▶ These are due within one year
- ▶ These are short-term loans
- ▶ **A vague term for loans to be repaid by an enterprise after twelve months**
- ▶ In working capital, these are deducted from assets

Question No: 41 (Marks: 10)

Calculate depreciation of the asset for five years by using written down value method. Also show accumulated depreciation.

Cost of the asset	Rs. 1,20,000
Depreciation Rate	10%
Expected Life	5 years

ANSWER

YR	Written down value method	RS	Accumulated depreciation
1	cost	120,000	
	Depreciation @ 10%... 10%*120,000	12,000	12,000
	WDV... 120,000-12,000	108,000	
2	Dep @ 10%... 10%*108000	10,800	22800

	WDV= 108,000-10,800	97,200	
3	Dep @ 10%... 10%*97,200	9,720	32520
	WDV= 97,200-9,720	87,480	
4	Dep @ 10%...10%*87,480	8,748	41,268
	WDV=87,480-8,748	78,732	
5	Dep @ 10%...10%*78,732	7873.2	49,141.2
	WDV=78,732-7873.2	70858.8	